

But being an investor maintains my focus on both risk and on return. A CEO can be lost in the daily minutiae; wearing an investment hat places a consistent emphasis on the bottom line.

Warren Buffett has famously stated, “I am a better investor because I am a businessman, and a better businessman because I am an investor.” Investors attempt to look behind the curtain of a company’s operations, but they often realize how little they actually know. From this vantage point, one can appreciate that even extensive research will uncover only a small fraction of what one can possibly know about a business. Investors must find a way to navigate through uncertainty and randomness. There are decisions being made every day, and sometimes made decades earlier, that are still affecting outcomes today in every business and industry. There are intricate path dependencies that are often too complex even for very skilled upper management to fully understand the trade-offs involved. Perfect information does not exist; there are only confidence intervals. This is, of course, at the heart of why a margin of safety matters so greatly in investing. If you start with the premise that there is only so much one can know, of course you need a margin for error. The less you know, the greater the margin needed.